

Springboard Trading – Day 2

Strong vs Weak Levels & Level Selection

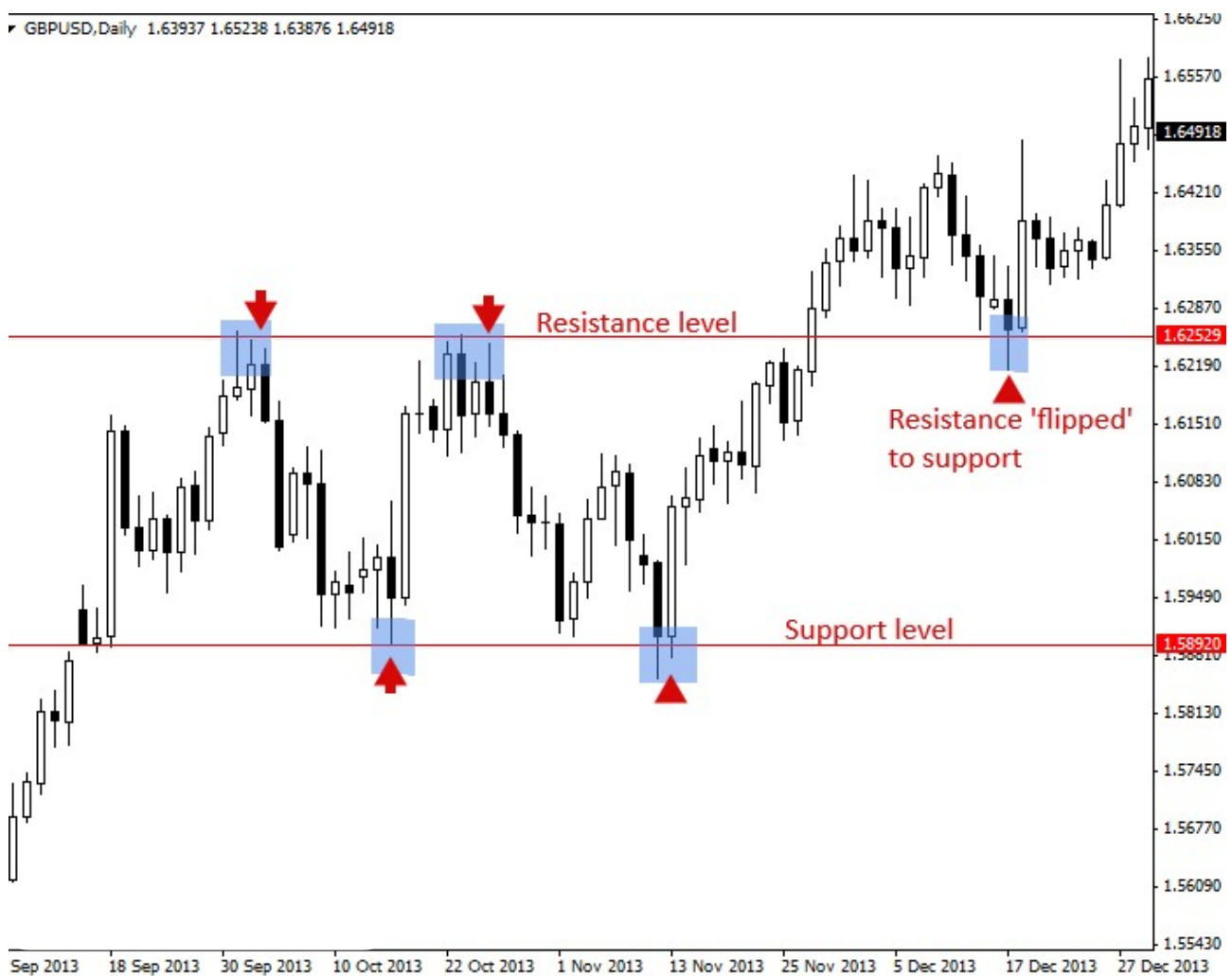
Objective of Day 2

By the end of Day 2, you will know:

- Why **some levels work** and some fail
- How to identify **strong vs weak support & resistance**
- Which levels are worth trading and which to ignore

 Today is about **quality of levels**, not quantity.

1 Not All Levels Are Equal





Every chart has many levels.
But **only few matter**.

🔑 Market rewards **clarity**, not clutter.

2 What Makes a Level STRONG?





A Level is Strong When:

1 Multiple Rejections

- Price reacted 2–3 times or more
- Each time, clear move away from level

2 Sharp Reaction

- Fast bounce or drop
- Not slow drifting

3 High Volume Involvement

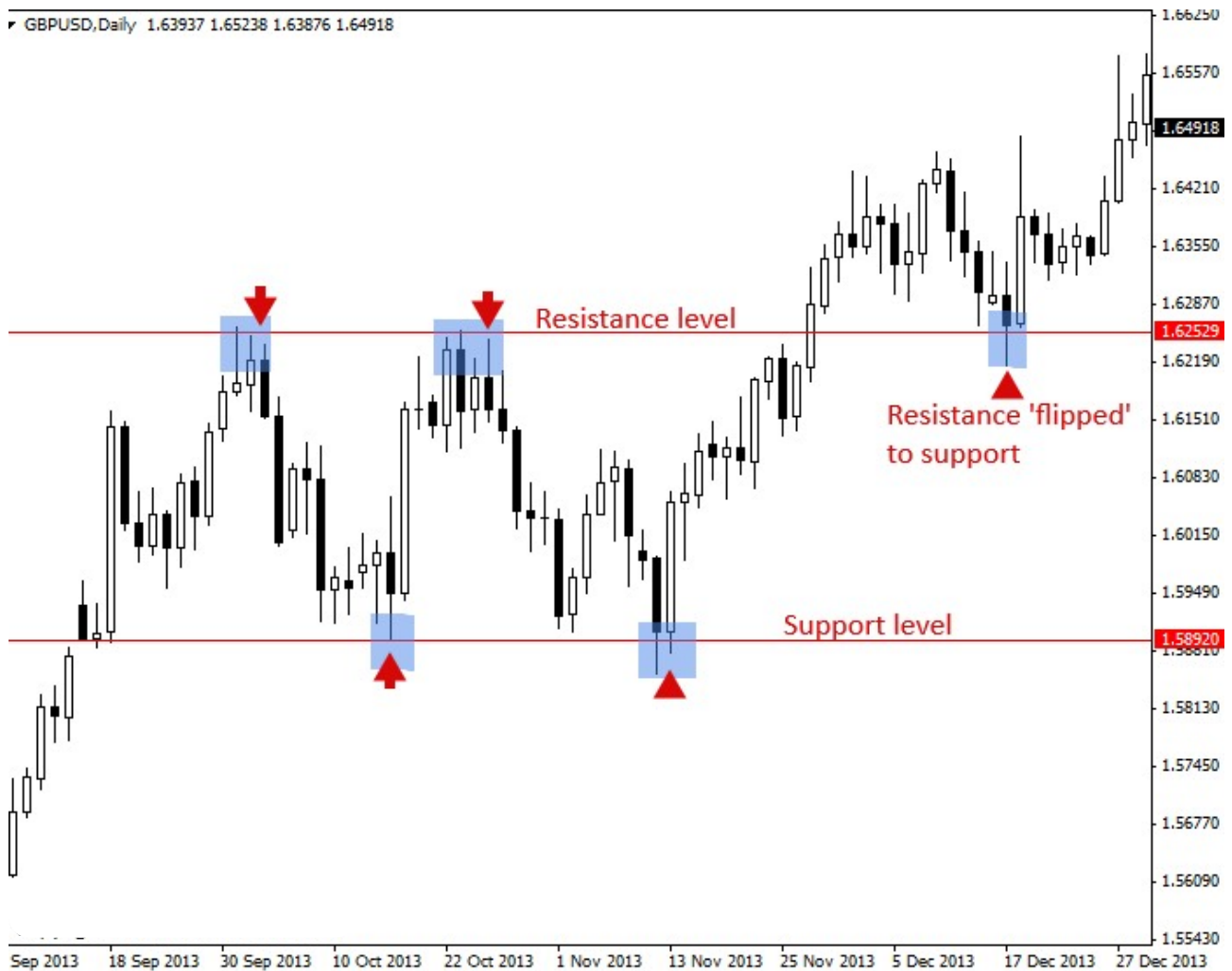
- Expansion in volume near level

4 Higher Timeframe Origin

- Daily > Hourly > 15-min

Higher timeframe levels carry **institutional money**

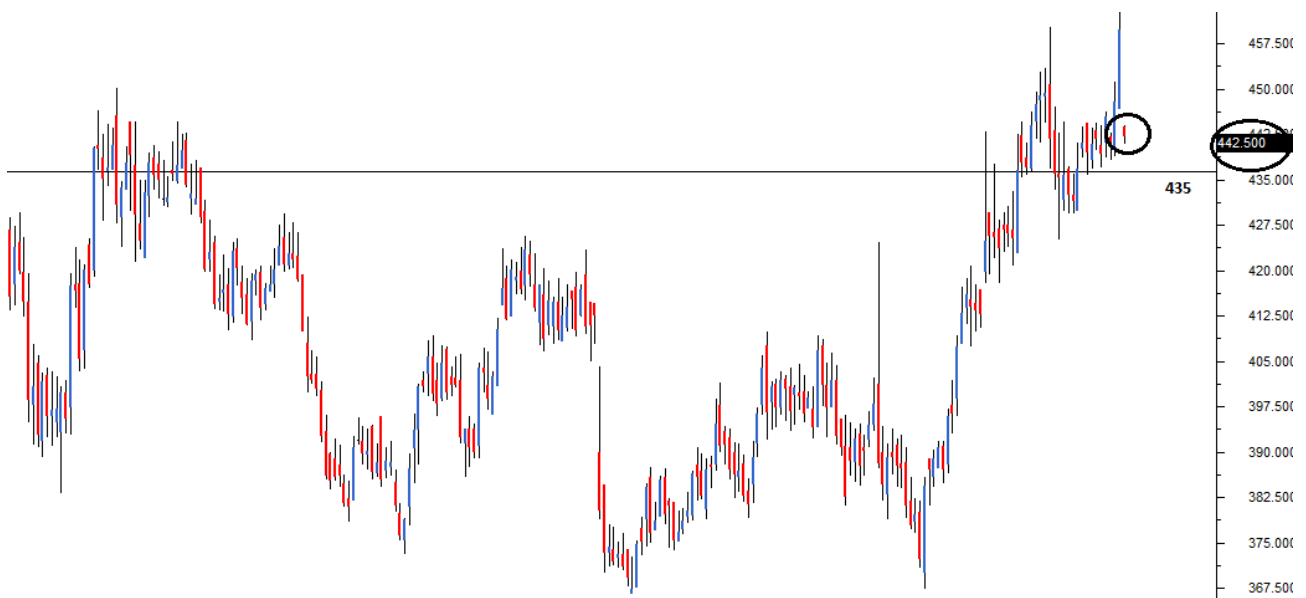
3 What Makes a Level WEAK?

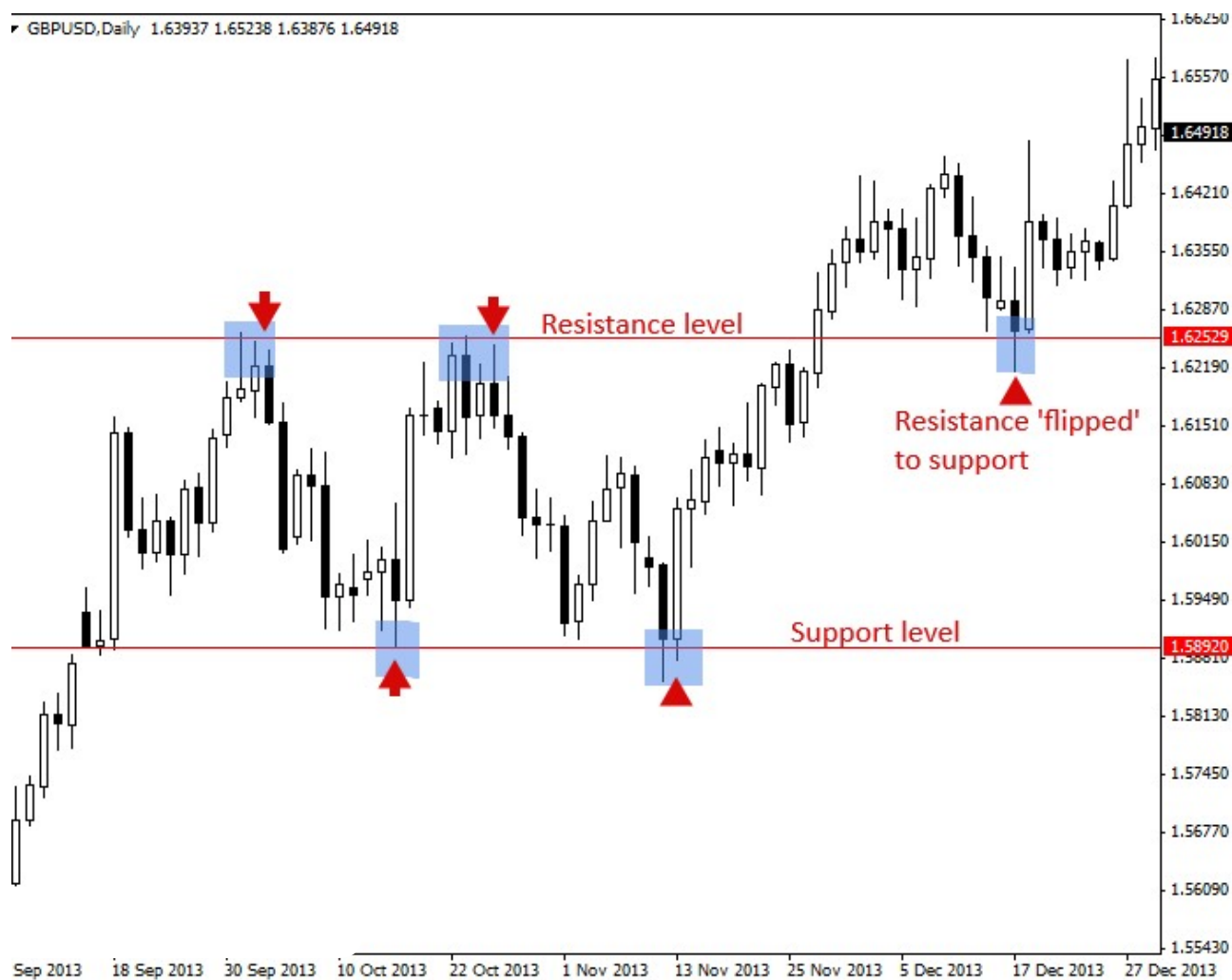


Weak Levels Have:

- ✗ Only one reaction
 - ✗ Very recent formation
 - ✗ Flat, overlapping candles
 - ✗ Formed in middle of range
- 📌 Weak levels get **easily broken**.

4 Fresh Level vs Tested Level





Fresh Level

- Not tested before
- First retest often gives **strong reaction**

Tested Level

- Already reacted many times
- Each test **consumes orders**

📌 Rule:

More tests = weaker level

5 Wick Rejection vs Body Acceptance

What is Price Rejection in Forex?



Wick Rejection

- Long wick
- Small body
- Price rejected

➡ Level respected

Body Acceptance

- Candle closes beyond level

- Strong body

➡ Level failing

📌 Close matters more than touch.

6 Confluence Makes Levels Powerful

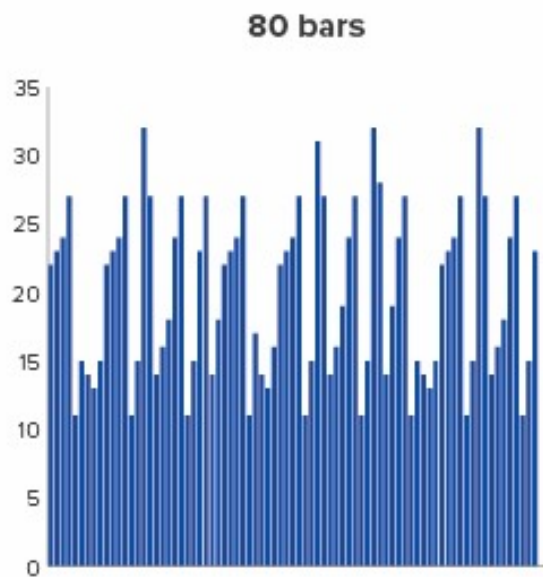


A level becomes powerful when it aligns with:

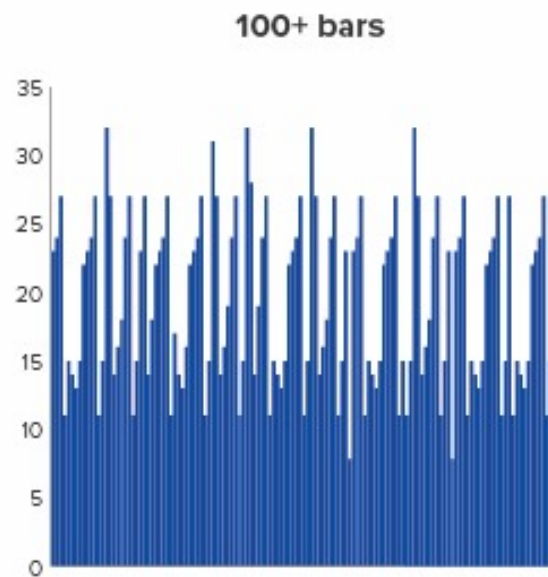
- Support + Trendline
- Resistance + VWAP
- Level + Round number

📌 More confluence = more probability

7 Levels to IGNORE (Very Important)



Becoming a blur



Not a bar chart anymore



Ignore:

- ✗ Levels in middle of range
- ✗ Very close levels (5–10 pts apart in index)
- ✗ Levels drawn on very small timeframe only

Too many levels = no decision-making



Day 2 Homework (Practical)

1 Open **Daily chart**

2 Mark:

- 1 **very strong support**
- 1 **very strong resistance**

3 Justify in writing:

- Why is it strong?
- How many reactions?
- Sharp or weak move?

4 Drop **all other unnecessary levels**



Day 2 Mindset Rule

“One strong level is better than five weak ones.”